

COSTS & FEATURES OF A CHECKING ACCOUNT

features of A CHECKING ACCOUNT

- Checking accounts can offer various features depending on the type of account and the bank in which the account is held.
- Some of the features include: bill pay, the use of a debit card, direct deposit, overdraft protection, online banking

COSTS of A CHECKING ACCOUNT

- Banks offer features at a cost, or charge fees when requirements aren't met. These fees are withdrawn from your account balance.
 - The overdraft fee is charged when your account balance drops below \$0.00.
- Some of the other costs include: a minimum balance fee, a fee per check written, an ATM fee

TASK 1 Donovan is comparing two different banks to determine where he should open a checking account. Use the information about the two banks below to answer the questions.

BANK	fees
Texas State Bank	• \$10 monthly fee for accounts with less than \$500, no fee if greater than \$500
Lone Star Bank	• 1% monthly fee for account with less than \$1,000

discuss:

1. If Donovan opens an account at Texas State Bank and typically has about \$400, then how much will he pay in monthly fees?

\$10

2. If Donovan opens an account at Lone Star Bank and typically has about \$400, then how much will he pay in monthly fees?

$$\frac{1}{100} \Rightarrow \frac{x}{400} \quad \$4$$

3. If Donovan opens an account at Texas State Bank and typically has about \$800, then how much will he pay in monthly fees?

\$0

4. If Donovan opens an account at Lone Star Bank and typically has about \$800, then how much will he pay in monthly fees?

$$\frac{1}{100} \Rightarrow \frac{x}{800} \quad \$8$$

†ASK 2:

Use the information about each of the banks below, as well as the information about each person's needs in order to make the best recommendation for a bank.

BANK A

- no minimum account fees
- \$5 debit card fee
- \$3 per check written fee
- unlimited debit card use

BANK B

- 1% of checking account balance
- no checks
- unlimited debit card use
- no ATM fee

BANK C

- \$5 monthly fee
- no ATM fee
- \$3 per check written fee
- online bill pay

BANK d

- no minimum account fees
- no charge for writing checks
- \$5 debit card monthly fee

JoSIE

"I work part-time by babysitting and really need a place to keep my money. I mostly use a debit card to make any purchases."

MARGO

"I normally keep about \$2,000 dollars in my checking account. I mostly use a debit card, but I do write checks for my monthly bills."

Miguel

"I really like using a debit card or getting cash out at the ATM. My bank balance is usually around \$400, as I just work part-time for my dad."

†ANISHA

"I only use a debit card and pay my bills online. I really don't have any use for checks or an ATM card."

CuStOMeR	BANK	RAtIONALe
JoSIE	A	Doesn't use checks, so no fee
MARGO	D	No charge for checks
Miguel	B	B is \$1 cheaper
†ANISHA	C	C offers online bill pay

diScUss:

5. What did you consider when determining which bank was a best fit?
6. If Miguel normally had a large bank balance, would you have suggested a different bank?

Summarize today's lesson: